

LNG SnP report - June & July

Aug 7, 2025

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Market reflections

The LNG S&P market is undergoing a notable transformation this year. Initial expectations for a robust second-hand market have been tempered by constant changes stemming from the United States, which have created a complex and sometimes unpredictable environment—a veritable "old-fashioned stew." This mix of ingredients—from decisions on recycling and refinancing to new KYC requirements and volatile interest rates—has created some truly interesting market "tastes."

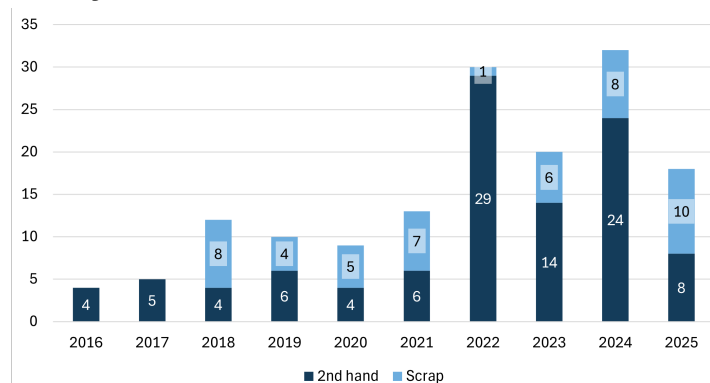
Since our last report, these dynamics have been demonstrated by several key developments. We have seen discussions surrounding a modern vessel being refinanced through a Japanese Leasing structure, the confirmation of four additional vessels sold for recycling (bringing the total to ten), and multiple instances of vessels being placed on and off "subs." In these cases, buyers have shown a looser interpretation of MOAs than their formal terms, with cultural nuances and ultimate beneficial ownership often emerging as common denominators.

While it remains challenging to determine conclusive transaction levels in the current climate, it is increasingly clear that Steam Turbine vessels are destined for a bifurcated future: either bespoke projects (Steamer Nirvana) or recycling (Steamer Samsara). Similarly, DFDE/TFDE vessels are facing market struggles, though their outlook is somewhat more favorable due to their size and potential for UFS impact in tailormade projects. It is particularly noteworthy that inquiries for alternative uses for STs and DFDE/TDFEs are currently more prevalent than those seeking a cyclical shipping play with 2-stroke vessels.

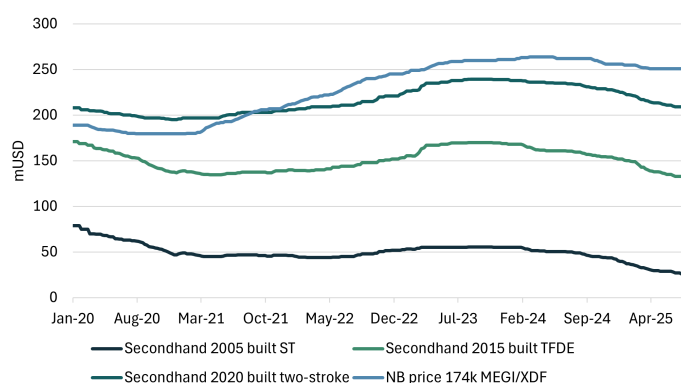
Recent sales

Vessel Name	Year of build	Sale Price (\$Mn)	Capacity (CBM)	Seller	Buyer
Methane Alison Victoria	2007	27.00	145,000	GasLog	Excelerate Energy
Ghasha	1995	20.60	137,500	ADNOC	Scrap
Al Khaznah	1994	20.70	137,500	ADNOC	Scrap
Hyundai Cosmopia	2000	19.06	138,000	Hyundai LNG Shipping	Scrap
Flex Courageous	2019	192.50	174,000	Flex LNG	JOLCO
Hyundai Aquapia	2000	19.20	137,500	Hyundai LNG Shipping	Scrap

Yearly sales



Asset values



Newbuilding update

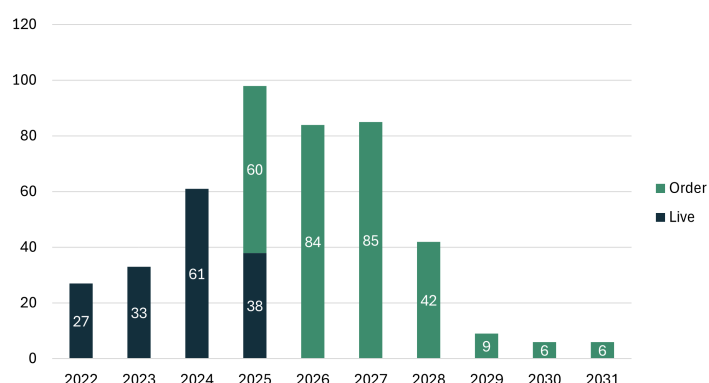
Market activity on the newbuilding front has been limited, with the notable exception of Capital's latest orders. These are believed to be speculative, placed in anticipation of tendering activity in the second half of the year.

Amid a renewed focus on building LNG carriers with US participation, Hanwa Philly Shipyards has secured an order for one firm and one optional vessel. The final price for this order will be a point of considerable interest, as historical comparisons with less complex shipbuilding segments suggest this will be a high-cost endeavor for the owner. Shipyards, however, are still holding relatively firm on their pricing, and we do not anticipate a significant change as of now.

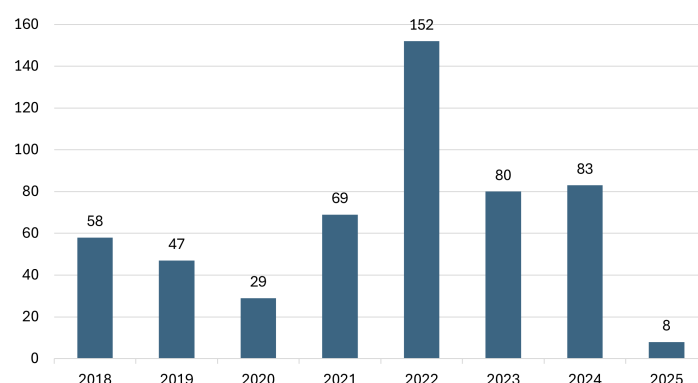
We can also confirm that Purus, a subject of rumors earlier this year, has officially entered the newbuilding LNG market. This is a welcome development that introduces a new entrant into the sector. The key question now is the extent of their appetite for additional vessels in the remaining months of the year.

Name	Owners	Yard	Ordered	Capacity	Propulsion	Delivery
Hyundai Samho	Capital	Hyundai Samho	01/07/2025	180,000	XDF	01/03/2028
Hyundai Samho	Capital	Hyundai Samho	01/07/2025	180,000	XDF	01/03/2028
Hyundai Samho	Capital	Hyundai Samho	01/07/2025	180,000	XDF	01/03/2028
Hyundai Samho	Capital	Hyundai Samho	01/07/2025	180,000	XDF	01/03/2028
Hyundai Samho	Purus	Hyundai Samho	01/04/2025	180,000	XDF	01/03/2028
Hanwha Ocean 2606	Hanwha Ocean	Hanwha Ocean	01/03/2025	175,000	MEGI	01/06/2027
Hanwha Ocean 2607	Hanwha Ocean	Hanwha Ocean	01/03/2025	175,000	MEGI	01/08/2027
Samsung 2729	Celsius Shipping	Samsung	17/01/2025	180,000	XDF	01/06/2027

Deliveries incl. orderbook



LNGC orders

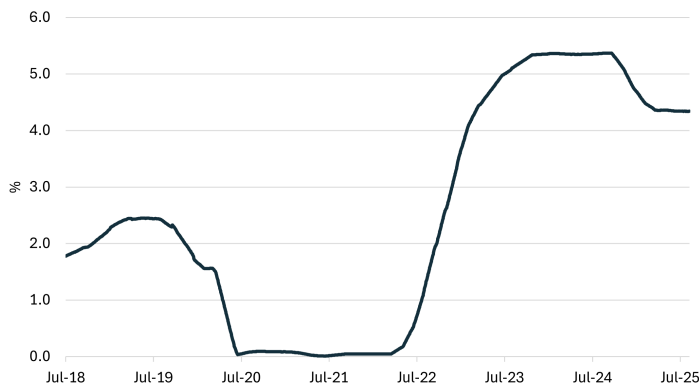


Interest rates

The volatility in the financial markets continue to create challenges when trying to predict the level at which interest rates will stabilize or even reduce somewhat. It seems clear that what we expected to be a softening of interest rates is unlikely as long as the geopolitical conditions are as unpredictable as they are currently. As we stated in our last report the gap

between US and ECB interest rates is such that we still see it as a likely outcome that more may move their transactions towards the Euro as a countermeasure to the current US Administration.

Interest rate (90 day avg. SOFR)



Source: FRED

10-Year Treasury Constant Maturity Minus 2-Year Treasury Constant Maturity

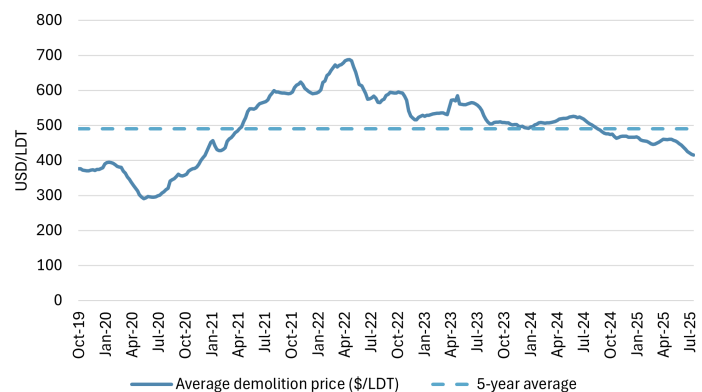


Recycling

At the start of the year, our forecast projected a likely scenario of over 20 vessels being recycled. While the first quarter's pace did not align with these expectations, the current year-to-date total of ten vessels suggests the market is now on track to approach that number.

A notable development is the emerging challenge for some recycling yards in dismantling membrane vessels, a difficulty stemming from the complex construction of their containment systems. Reported recycling prices have varied widely, a factor that underscores the sensitivity for cash buyers and highlights a growing gap in residual value between Moss and membrane vessels.

Demolition price (large tanker)

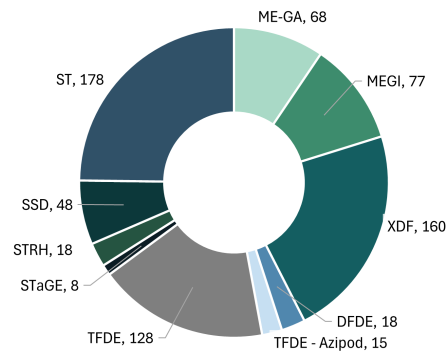


Bangladesh US\$ 420/430 (Down - -45 from last report)
Pakistan US\$ 435/445 (Down - -20 from last report)
India US\$ 425/435 (Down - -40 from last report)
Turkey US\$ 255/265 (Unchanged - from last report)

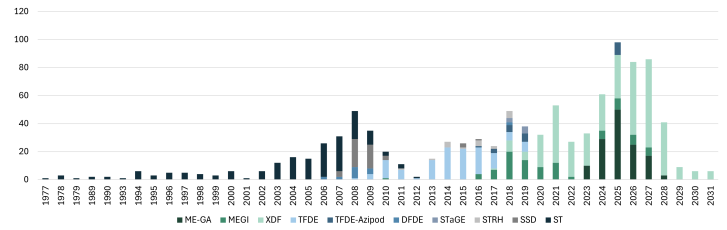
Source: Baltic Exchange

World fleet at a glance

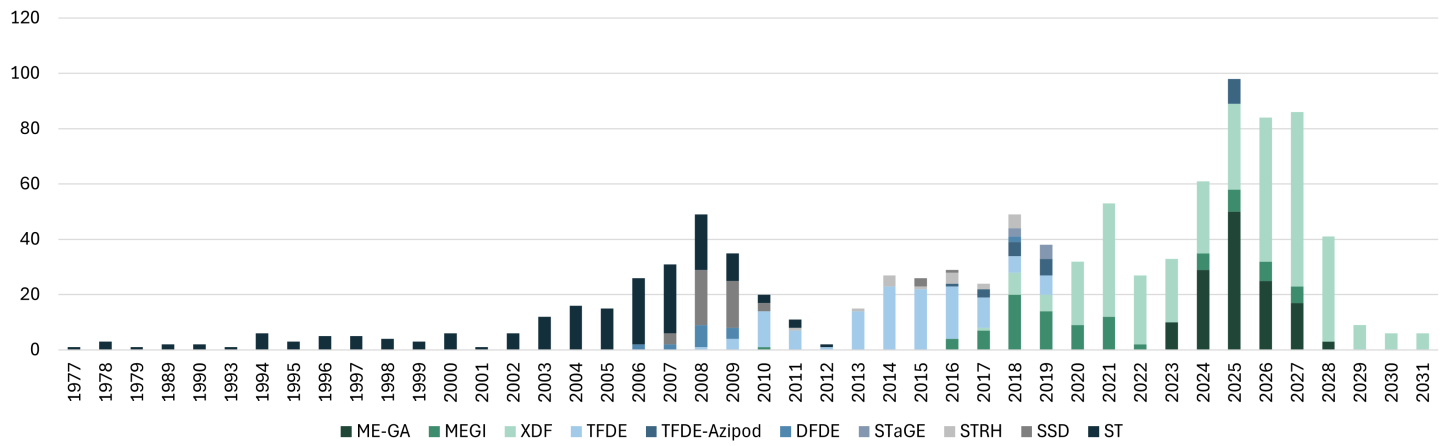
Live fleet by propulsion



Total fleet



LNGC fleet by propulsion and delivery year





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